

CITATION: Hoffman v. Jekel, Atlantic Mutual Insurance, 2011 ONSC 1324
COURT FILE NO: 05-CV-289539PD1
DATE: 20110228

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

LOREN HOFFMAN AND JUDITH HOFFMAN

Plaintiffs

- and -

MARTIN JEKEL AND ATLANTIC MUTUAL
INSURANCE COMPANY

Defendants

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) *G. Joseph Falconeri,*
) for the Plaintiffs
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) Unrepresented at Trial
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) **HEARD:** September 30, 2010

D.A. WILSON J.

REASONS FOR JUDGMENT

[1] The Plaintiff, Loren Hoffman, is an American citizen who was in Ontario on business when he was involved in a motor vehicle accident on June 10, 2002 in Brampton. He sustained injuries in that accident and consequently, in May of 2005, he issued a claim in Ontario against the driver who was involved in the collision, Martin Jekel, ("Jekel") as well as against the Atlantic Mutual Insurance Company, who insured the Plaintiff's vehicle in Florida. At the time of the accident, Mr. Hoffman was driving a car rented from Avis in Ontario. The other driver, Jekel, did not have a valid Ontario driver's license, as it had been suspended for years as a result of numerous offences, most notably for driving while his license was under suspension. As a result, the Jekel vehicle was uninsured. The action was discontinued against the defendant insurer.

[2] Jekel did not defend the action and was noted in default. Justice MacDonnell granted judgment against Jekel on the issue of liability on May 5, 2010 and ordered the action proceed to trial on damages, which it did before me on September 30, 2010.

The Limitation Period issue

[3] The accident occurred in June 2002 and the Statement of Claim was not issued until May 2005, outside the 2 year limitation period under the *Highway Traffic Act*, R.S.O. 1990, c.H.8 as amended. Although this matter was undefended, I asked counsel to address the issue of the limitation period. It is the position of the Plaintiff that his injuries were not discoverable until June of 2003 when he underwent an MRI which revealed the presence of various abnormalities. Following this, Mr. Hoffman was advised that he had a permanent work restriction and was unable to continue on at his job, which involved extensive driving.

[4] The Plaintiff argues that after realizing that he had a permanent injury and could no longer work in his chosen field of employment, he first recognized that he had sustained an injury that would meet the threshold as set out in the Ontario legislation and consequently, the limitation period started to run as of June 2003. He retained Ontario counsel and issued his claim in May 2005, within 2 years of June 2003.

The Evidence

[5] At the time of the accident, Mr. Hoffman worked as an auto parts salesman at Automatic Transmission Parts Inc. (“ATP”), a job which involved a great deal of driving as well as lifting. Following the accident, the Plaintiff was off work for 2 months and then returned to work on a modified, part-time basis. Although he continued to work, on November 14, 2002, he experienced a sudden onset of severe back pain with numbness running down his right leg. He underwent an MRI which revealed a herniated disc. Following this, Mr. Hoffman was treated by an orthopaedic surgeon, Dr. MacMillan, and noted improvement in his symptoms.

[6] He returned to work in February 2003 but gradually, his symptoms worsened and in May, 2003 Dr. MacMillan ordered him off work. Another MRI revealed the presence of Schmorl’s nodes. At the next visit with Dr. MacMillan in June 2003, the surgeon told Mr. Hoffman that he could not drive for more than one hour continuously. In addition, Dr. MacMillan indicated that in all likelihood, the back pain, and numbness and pain down the right leg would not improve any further. It was at this point that the Plaintiff realized that he was not going to recover from the accident or be able to return to the job that he had held for many years prior to the accident. He retained Canadian counsel in January, 2004 and the Statement of Claim was issued on May 16, 2005.

[7] Under section 206(1) of the *Highway Traffic Act*, R.S.O. 1990, c.H.8, as amended, “no proceeding shall be brought against a person for the recovery of damages occasioned by a motor vehicle accident after the expiration of two years from the time when the damages were sustained.” Section 267.5(5) of the *Insurance Act* sets out what is commonly known as the “threshold” that must be surpassed in order for a successful claim for compensation for damages.

In the case of the Plaintiff, Mr. Hoffman must demonstrate that he has sustained “permanent serious impairment of an important physical, mental or psychological function.”

[8] Counsel for the Plaintiff relies on the case *Peixeiro v. Haberman* (1997), 151 D.L.R. (4th) 429 (S.C.C.) which establishes the “discoverability” principle — that is, when through reasonable diligence could a plaintiff have known that his injury was reasonably discoverable? Justice Major stated,

Under s. 206(1) of the *HTA*, there is no cause of action until the injury meets the statutory exceptions to liability immunity in s. 266(1) [now s. 267.5] of the *Insurance Act*. The discoverability principle applies to avoid the injustice of precluding an action before the person is able to sue. **Time under s. 206(1) does not begin to run until it is reasonably discoverable that the injury meets the threshold of s. 266(1)...** [Emphasis mine]

Analysis

[9] Since the Supreme Court of Canada decision in *Peixeiro, supra*, the law is settled that a person cannot be expected to commence an action before he or she knows that the necessary elements as set out in the legislation can be established on the evidence. In *Everding v. Skrijel*, [2010] ONCA 437, Justice Feldman of the Ontario Court of Appeal expressed it in this fashion,

Clearly it is not the policy of the law or the intent of the limitations provisions to require people to commence actions before they know that they have a substantial chance to succeed in recovering a judgment for damages. These provisions of the *Insurance Act* were enacted as part of a scheme that provides compensation with no-fault benefits for injuries that are not considered to be serious or permanent, but allows actions to proceed where the injuries are sufficiently significant that a substantial monetary award is likely to be recovered. Consequently, the test for the discoverability of the existence of such a claim for limitation purposes must be in accordance with this same policy.

[10] A determination of whether or not an injury meets the threshold set out in the legislation is made based on the evidence in a particular case. One of the factors that is examined in making the determination is the effect of the injury or injuries on the Plaintiff’s ability to return to their usual daily activities including their employment.

[11] I agree with the approach adopted by the court in *Ioannidis v. Hawkings*, 39 O.R. (3d) 427 1998 (Ont. Sup. Ct.). Justice Langdon stated,

When one is seeking to apply the discoverability rule to the plaintiff in a case such as this, it behooves the Court to grant a degree of latitude to a plaintiff before declaring that the limitation period has begun to run. For instance, the first medical report or letter from the family doctor suggesting that an injury may be permanent may not be a triggering event if it is reasonable to expect that the

plaintiff might want a second or more expert opinion. The assessment of these injuries is a highly individual matter which requires great delicacy. One specialty may view a patient as an unreliable historian or as a malingerer. That particular physician's assessment of the individual might well be contradicted by the assessment of another physician or of a judge or jury. It may be that further diagnostic tests will bring to light some important physical symptom not earlier seen or, indeed, not visible on an earlier examination, such as in the case of *Peixeiro*. **In practical terms, the question is not whether the plaintiff believes that her injury meets the criteria but whether there is a sufficient body of evidence available to be placed before a judge that, in counsel's opinion, has a reasonable chance of persuading a judge, on the balance of probabilities that the injury qualifies. When such a body of material has been accumulated, then and only then should the limitation begin to run.** [Emphasis mine]

[12] The uncontradicted evidence in the case before me is that Loren Hoffman was taken from the scene of the accident to the hospital where he was assessed, told he had soft tissue injuries and discharged.

[13] The Plaintiff followed up with his family doctor, continuing to complain of a variety of symptoms. Prior to the accident he worked in excess of 80 hours per week as a district manager for an American auto parts company. The majority of his time was spent traveling and in particular, driving. Following the accident Mr. Hoffman returned to modified work on a part-time basis.

[14] The medical evidence indicates that on November 14, 2002, the Plaintiff experienced a severe episode of low back pain with numbness going down his right leg. He was admitted to the hospital and diagnosed with a disc protrusion at L4/5. He undertook nerve root injections from Dr. MacMillan which resulted in increased improvement, particularly in his pain levels.

[15] Unfortunately, in May 2003, the pain increased again and the Plaintiff was unable to work. According to the Plaintiff's evidence, which is corroborated by the records of Dr. MacMillan, in June 2003, he was advised that he could not work in any job other than medium difficulty and he could not drive for more than an hour. This meant that he could no longer perform the work that he had done with the auto parts company.

[16] He was advised that he had a permanent work restriction with no driving in excess of an hour. According to Mr. Hoffman's testimony, although he informed his employer of his medical situation and attempted to continue on at his job, in June 2003, ATP fired him. Unfortunately, since that time, Mr. Hoffman's condition has deteriorated, despite his best efforts to rehabilitate himself.

[17] I was impressed by Mr. Hoffman, who struck me as well-motivated to improve his level of functioning. I found him to be a credible witness who responded to questions honestly, without attempting to over-state his difficulties. He clearly has a strong work ethic, returning to

work on a part-time basis while he was still in the recovery stage. He continued to take treatment and believed his symptoms would continue to improve. He worked modified duties, and restricted hours in an effort to hold onto his job. At the same time, the medical documentation makes it clear that his symptoms continued to increase in terms of severity and he was forced to seek additional treatment.

[18] I find that it was not until June 13, 2003 when he was advised by his orthopedic surgeon that he had reached his maximum medical recovery and that he could not work return to his job at ATP that the limitation period was triggered for the institution of a claim in Ontario. It was not until that point in time that Mr. Hoffman could reasonably have known that his injuries from the 2002 car accident were of the type that could potentially meet the threshold set out in the legislation, the requirement of being a permanent and serious impairment of function.

[19] A prospective plaintiff may believe that his or her injuries meet the threshold. However, the legislation specifically requires that the plaintiff demonstrate the “injured person has sustained permanent serious impairment of an important physical, mental or psychological function” in order to receive compensation. To put it another way, a plaintiff must prove on a balance of probabilities that his or her case falls within the statutory exception. This requires evidence about the nature and extent of the injury, including opinions from a health care practitioner stating that the criteria set out in the legislation has been met. Some claims are obvious from the outset but others require the passage of time for a prognosis as to the long term *sequelae* to be rendered.

[20] On the facts before me, it is clear that Mr. Hoffman brought his action within 2 years of the date he knew or ought to have known that his injuries were of sufficient severity that he had a substantial chance of success in meeting the threshold set out in the legislation.

Damages

[21] The plaintiff was born in 1945 and is currently 65 years old, living in Bradenton, Florida. He worked in his family’s auto parts business and attended Indiana State University until he was drafted in 1968. He served in Vietnam from December 1968 until December 1969, when he returned to the United States. He worked in the family business until 1979 when it was sold.

[22] In 1980 he was diagnosed with post traumatic stress disorder as a result of his war experience, although he did not seek psychological assistance at the time. His first marriage ended in divorce and his anger and depression from the PTSD were contributing factors.

[23] In approximately 1981, the plaintiff secured a job with ATP. He moved to Houston, marrying for the second time. Mr. Hoffman moved with the company to New Hampshire and then to Buffalo, where he was appointed Regional Manager. He put in long hours, working upwards of 75 hours per week. There was quite a bit of travelling involved with the position because he was responsible for servicing the stores in his territory as well as finding new business. In 2002, his salary was \$58,000. According to Mr. Hoffman, he loved his job and planned on working until age 67.

[24] Before the car accident, Mr. Hoffman enjoyed good health. He did struggle with the symptoms of PTSD, but the episodes did not affect his ability to do his job. In 2000, he and his wife moved to Florida. He was involved in many activities, including golf, wood working, and gardening. He was handy around the house and took care of the yard work as well.

The accident of June 10, 2002

[25] Mr. Hoffman was driving along Steeles Avenue in Brampton with his seatbelt fastened when the defendant vehicle did a left turn directly in front of him. The force of the impact caused the Plaintiff vehicle to strike the curb and roll several times, ending up in a field in the south east corner of the intersection.

[26] The plaintiff testified that he believes he lost consciousness in the accident as a result of his head striking the door. He recalls someone at the scene asking him if he was okay. He was unable to get out of the vehicle on his own.

[27] He was taken by ambulance to the William Osler Health Centre where he was examined, some x-rays were taken and he was discharged. He returned to Florida the following day and he recalled that he did not recognize his wife. He was “in agony” and had a severe headache as well as pain in the area of his ribs and knees.

[28] Mr. Hoffman went to see his family physician, Dr. Hoffman, who sent him for a CT scan and told him he had a concussion and that he needed to rest. He started to relive the war again in his mind and his doctor told him he needed to see a neurologist and a psychiatrist. Dr. Gonzalez, a neurologist, diagnosed post concussion syndrome and gave him some medication.

[29] Although the headaches had not improved, Mr. Hoffman returned to work at ATP in September 2002 on a graduated basis. He found he had difficulty remembering and was troubled with nightmares. On November 14, 2002, Mr. Hoffman felt unwell: he was nauseous and he could not feel his back and legs. He asked his wife to take him to the hospital. He was admitted to the Coral Springs Hospital and came under the care of an orthopedic surgeon, Dr. MacMillan. An MRI was undertaken which revealed the Plaintiff had an L4/5 disc herniation with a sequestered free fragment. Dr. MacMillan did not recommend surgery but sent Mr. Hoffman for physiotherapy and gave him a steroid injection at L4.

[30] In his note of January 2003, Dr. MacMillan indicated that following completion of the physiotherapy, the Plaintiff might be able to gradually increase his physical demands on the job until he was back to his former level of activity. In February 2003, the Plaintiff returned to work initially 20 hours per week with restrictions on lifting and driving.

[31] In May 2003, Dr. MacMillan noted that the Plaintiff’s back and right leg pain had increased with the additional hours and he wondered if surgery might alleviate some of the symptoms. At the appointment of June 13, 2003, Dr. MacMillan stated “We feel that he should follow a permanent work restriction of medium-duty work with specific restrictions against not

driving more than 1 hour continuously. We feel, given the results of the present MRI, that we can place the patient at maximum medical improvement as of June 13, 2003...”

[32] Mr. Hoffman notified ATP of Dr. Macmillan’s recommendations and shortly thereafter, he was terminated. At this point, his wife told him that she no longer enjoyed his company and she moved out of their bedroom. Mr. Hoffman was complaining of severe headaches, disorientation, speech problems and right leg numbness. He started requiring a cane to walk. He attended upon his family doctor who noted his disability was likely permanent.

[33] Mr. Hoffman has seen a myriad of physicians and undertaken a variety of treatment in his quest to find an answer to his problems. In the summer of 2006, he attended at the Veteran’s Hospital in Florida where a diagnosis of PTSD with a panic disorder was made. He came under the care of a psychiatrist for his anxiety and panic attacks. In October of 2007 he attended at the Rehabilitation Institute in Chicago where he was assessed by numerous specialists. In 2008, he undertook another injection to alleviate the low back pain and right leg numbness, followed by another course of physiotherapy. The psychiatrist at the Veteran’s Hospital noted in 2008 that the plaintiff’s traumatic brain injury led to the onset of a number of problems including anxiety, daily panic attacks, nightmares and fatigue and he was prescribed medication.

[34] Currently, Mr. Hoffman lives with his daughter’s boyfriend, who assists him with various things he cannot do. At the present time, Mr. Hoffman continues to experience low back pain, neck pain, depression, balance problems, memory difficulties as well as nightmares. His symptoms of PTSD are improved since he has been placed on medication.

Additional Evidence

[35] The solicitor for the Plaintiff filed additional documentation [exhibit 2] to document the damages. The neuropsychological assessment of Allan Walton done in May 2007 notes:

A significant ongoing difficulty for the plaintiff has been his psychological response to the accident. Loren has begun experiencing flashbacks and memories with extensive symptomatology consistent with a post-traumatic stress disorder. However, the nature and content of these symptoms is associated with his Vietnam experience ... Although the accident of June 10, 2002 was not the original traumatic event, the accident aggravated his stress and anxiety and precipitated a return of PTSD symptoms...

[36] The orthopedic surgeon, Dr. Ogilvie-Harris, assessed the Plaintiff in November 2006. He is of the opinion that the accident irritated the nerve root at L5 on the right side and the plaintiff has gone on to develop chronic pain syndrome, complicated by his post-concussion syndrome. Dr. Ogilvie-Harris opined that Mr. Hoffman does not have the physical capability that is required to return to his former job. He did not feel that given the Plaintiff’s various symptoms as well as his age, he was capable of being competitively employed. He offered the opinion that the

injuries sustained by the plaintiff in the motor vehicle accident of June 2002 are serious and permanent.

[37] **Analysis**

[38] The evidence is overwhelming that as a result of the injuries from the accident of June 2002, Mr. Hoffman's life has been forever changed. He suffers from ongoing low back pain radiating into his right leg which prevents him from engaging in one of the essential tasks of his pre-accident employment: driving long distances. Despite his best efforts, he was unable to continue on with his employment at ATP, a company where he had worked in various capacities for more than 20 years. I pause to note that the treatment Mr. Hoffman received from his employer was appalling. If the manner in which the plaintiff was dealt with is an example of how ATP treats its employees in general, it is a wonder there are any employees left at the company. Mr. Hoffman was rewarded for his years of service by a letter of termination when he was disabled from working in the capacity he had in the past.

[39] Mr. Hoffman's medical picture is complicated by the fact that he exhibits the classic symptoms consistent with a mild head injury, which interfere with his relationships with other people, as well as his ability to concentrate. Super-imposed on these problems are his psychological difficulties caused by the exacerbation of his PTSD, which originated from his experience in the Vietnam war but was rendered much more debilitating after the car accident. His wife of 23 years ended their marriage, apparently as a result of the changes in her husband following the car accident.

[40] It is clear to me that the injuries Mr. Hoffman suffered in the accident of June 2002 meet the threshold established by the legislation. He has sustained a "permanent serious impairment of an important physical, mental or psychological function". Taking into account the medical evidence and the testimony of Mr. Hoffman, I assess his general damages at \$125,000 gross.

Special Damages

[41] The solicitor for the Plaintiff submitted a list of out of pocket expenses [exhibit 5]. I am satisfied that the monies spent on medical expenses totaling \$3,838.43 is appropriate. However, the amounts claimed for attending assessments in Toronto for the purpose of the lawsuit and for attendance at trial are not items of special damages, but more properly claimed as costs.

[42] The solicitor for the Plaintiff filed the report of the rehabilitation worker, Kim Doogan, dated November 19, 2008 setting out the future housekeeping and home maintenance needs that Mr. Hoffman requires as a result of his injuries. These include weekly housekeeping for heavier cleaning, a few hours of assistance for spring and fall cleaning and an additional allowance for other light housekeeping. The future housekeeping needs have been calculated on an annual basis to age 80 for the heavier cleaning and bi-annual cleaning (\$6,254.80) and to Mr. Hoffman's life expectancy for the lighter housekeeping (\$921.76).

[43] There is a claim for the cost of grounds keeping to age 80 on a monthly basis for an annual cost of \$2,220. This, apparently, is on the basis that if the accident had not occurred, Mr. Hoffman would not have moved into a condominium and would not have incurred the cost of condominium maintenance fees. I reject this claim, as there was no evidence called to support this theory. At the time of the trial, Mr. Hoffman was living in an apartment and planning on moving into a condominium with the boyfriend of his daughter. However, he did not testify that he would have continued to reside in a house had the accident not occurred.

[44] The claim for miscellaneous handyman services in the amount of \$625 annually is reasonable and is allowed. The evidence before the court was that Mr. Hoffman was very handy and did all of his repairs around the house before the accident occurred.

[45] The Plaintiff filed the report of the accountant Ian Wallach dated September 29, 2010 quantifying the past and future loss of income claims, under 2 different scenarios. I am persuaded that scenario 1 is the most reasonable based on the evidence. According to the plaintiff's own testimony, he planned to continue working at ATP until he reached the age of 67 and then he intended on retiring. Given his work ethic and his length of employment at ATP, I accept this evidence.

[46] The Plaintiff was candid that since the car accident, he has been diagnosed with Dupuytren's contractures in both hands, which is a shortening of his tendons. He undertook surgery in 2003, 2006 and again in 2008 as well as other treatment and therapy. The most recent records in October 2008 indicate that Mr. Hoffman continued to experience difficulty using his hands, particularly the right hand. There was weakness and difficulty with heavy lifting. I find that the hand problems would have interfered with his ability to work on a full time basis and that the loss of income calculations must take that contingency into account.

[47] The past loss of income is \$124,134 and the future loss of income to age 67 is \$89,171 according to the Wollach calculations. From this must be deducted the WSIB payout of \$20,000. In my view, the loss of income must be reduced by 20% to recognize the various contingencies, including the disability related to the Dupuytren's contractures. Thus, I find the loss of income related to the accident is \$154,644.

CONCLUSION

[48] The plaintiff, Loren Hoffman, shall have judgment against the defendant, Martin Jekel, in the following amounts:

- General damages: \$125,000.00 (gross amount);
- Pre-judgment interest on the above noted sum from May 16, 2005 at the rate of 5%;
- Out of pocket expenses: \$3,838.43;

- Loss of income, past and future: \$154,644.00
- Future housekeeping/home maintenance: \$74,974.00.

[49] The claim of Judith Hoffman is to be dismissed without costs.

[50] The Plaintiff is entitled to his costs, which I fix at \$50,000 plus GST, plus disbursements of \$26,180.80 plus the Plaintiff's costs of attending in Ontario at various points, in the sum of \$4,734.78.

Wilson, D.A., J.

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